



Clear Secure

NYSE : YOU \$5.41B mkt cap · 95M sh · \$800M cash, zero debt · Net cash ~\$0.80B (~\$171M cash + ~\$629M marketable securities), no debt; ~95M economic shares (estimate); Revenue \$0.901B FY25 (+19.7% in Q1'26); GAAP op margin 20.7%; FCF ~\$0.30B (~30% margin) off the deferred-revenue model; ~\$50, YTD ~+55% / TTM ~+41% (52-wk \$24.06-\$62.73); ~13x EV/FCF; quarterly + special dividend + buyback DCF

\$56.90

THE CENTRAL QUESTION

Is Clear Secure a maturing airport-lane subscription decelerating to terminal growth, or a horizontal identity-verification network expanding past the airport?

Clear Secure trades at ~\$4.77B (~\$50.25, up ~55% YTD / ~41% TTM) — about 13x EV/FCF on \$0.901B revenue growing ~20%, with a deferred-revenue membership model that throws off a ~30% FCF margin, net cash ~\$0.80B and no debt; capital return is aggressive. The fork the DCF resolves: airport CLEAR Plus saturating against a US frequent-flyer ceiling (with TSA's own free touchless ID commoditizing the lane) versus the identity platform — TSA PreCheck enrollment, biometric eGates, enterprise verification — extending the network. The modal case lands ~+40%, so the distribution leans to cheap quality.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$69.76

expected fair value today
+22.6% vs spot \$56.90

FORWARD COMPOUNDED VALUE

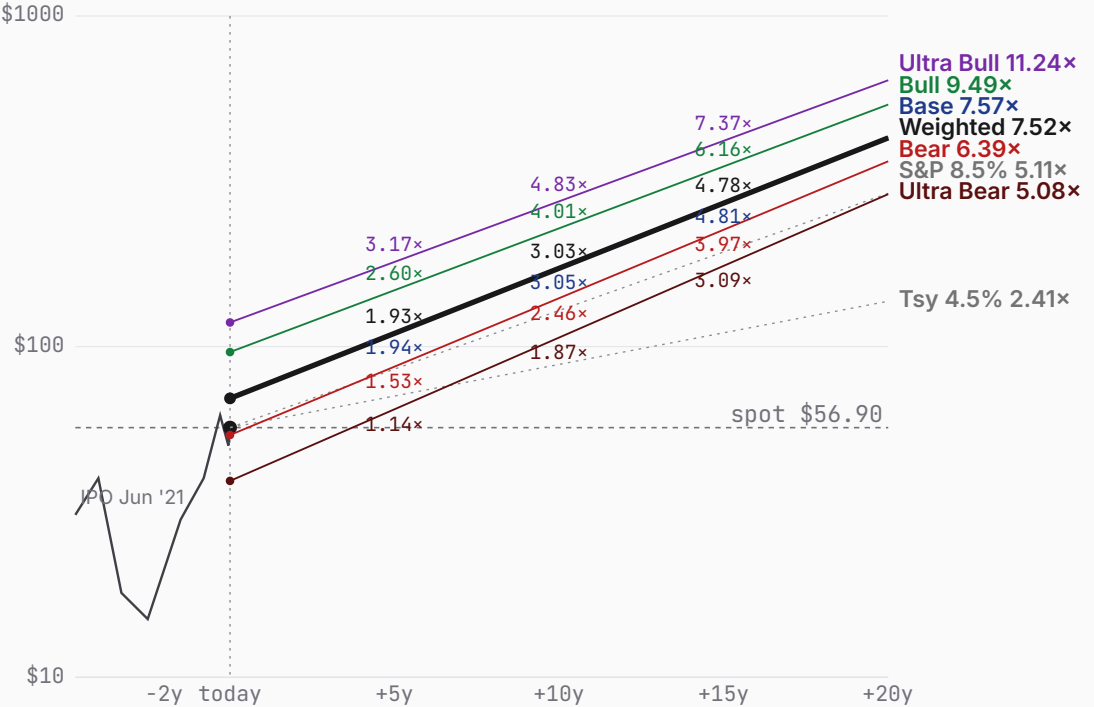
+5y	+10y	+15y	+20y
\$109.70	\$172.60	\$271.70	\$427.95
1.93× spot	3.03× spot	4.78× spot	7.52× spot

WEIGHTING RATIONALE

- Ultra Bear 14% Airport saturates; TSA commoditizes; ~\$39 (-22%).
- Bear 27% Members grow slowly; platform optional; ~\$54 (+8%).
- Base 34% Members compound; platform carries; ~\$70 (+40%).
- Bull 17% Identity platform second act; ~\$96 (+92%).
- Ultra Bull 8% Horizontal identity network; ~\$118 (+136%).

Bull (17%) + Ultra Bull (8%) together contribute \$25.84 — 37% of the \$69.76 expected value despite 25% combined probability. Today's spot (\$56.90) sits 18% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$39.26	BEAR	\$54.04	BASE	\$70.11	BULL	\$96.30	ULTRA BULL	\$118.35
	-31.0% vs spot		-5.0% vs spot		+23.2% vs spot		+69.2% vs spot		+108.0% vs spot
CAGR +2.4% WACC 10.5% CAGR +2.4% Prob 14%		CAGR +6.2% WACC 10.0% CAGR +6.2% Prob 27%		CAGR +9.8% WACC 9.5% CAGR +9.8% Prob 34%		CAGR +13.2% WACC 9.0% CAGR +13.2% Prob 17%		CAGR +16.2% WACC 8.8% CAGR +16.2% Prob 8%	
Airport saturates; TSA commoditizes the lane.		Members grow slowly; platform stays optional.		Members compound; platform begins to carry.		Identity platform becomes the second act.		Horizontal identity network; platform re-rate.	

PROBABILITY WEIGHTS

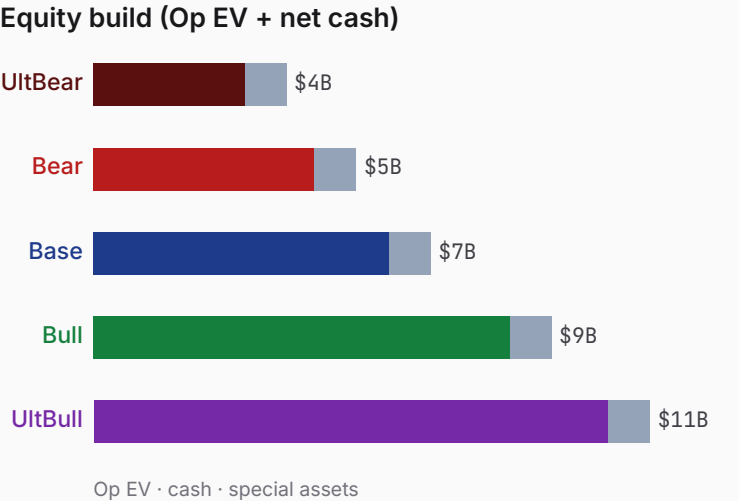
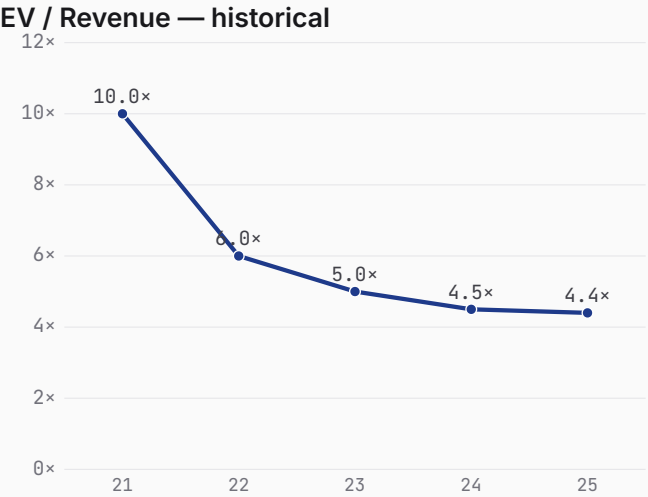
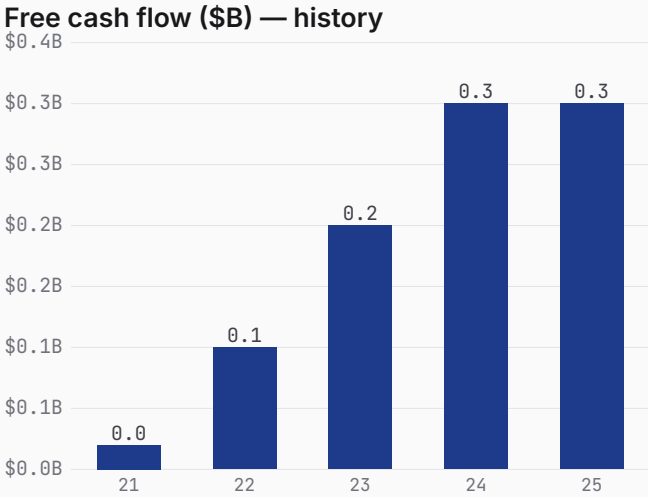
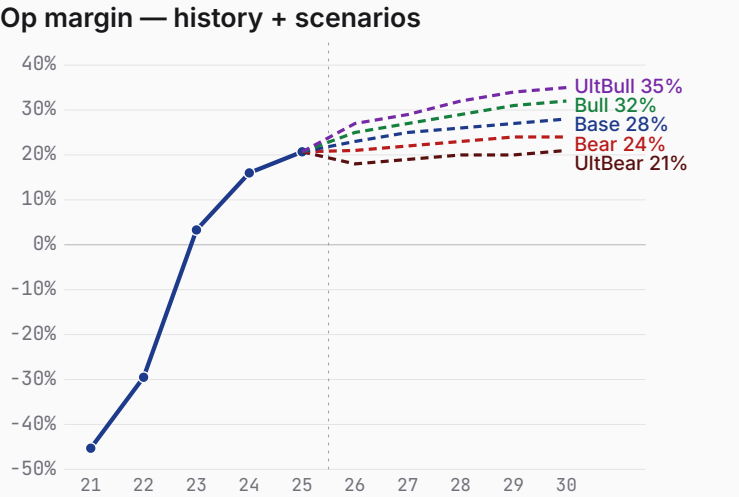
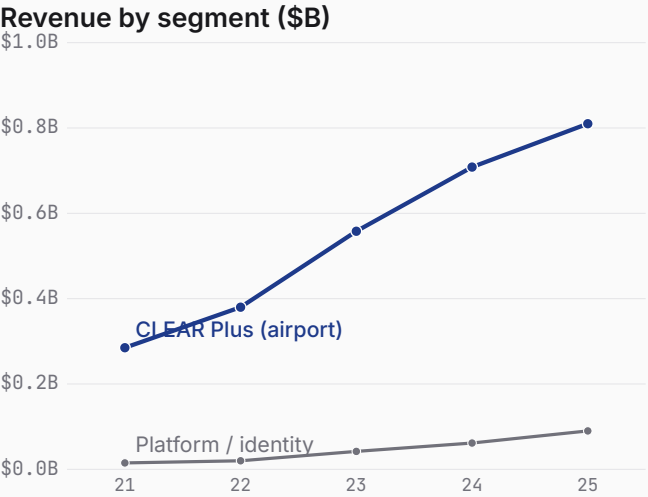
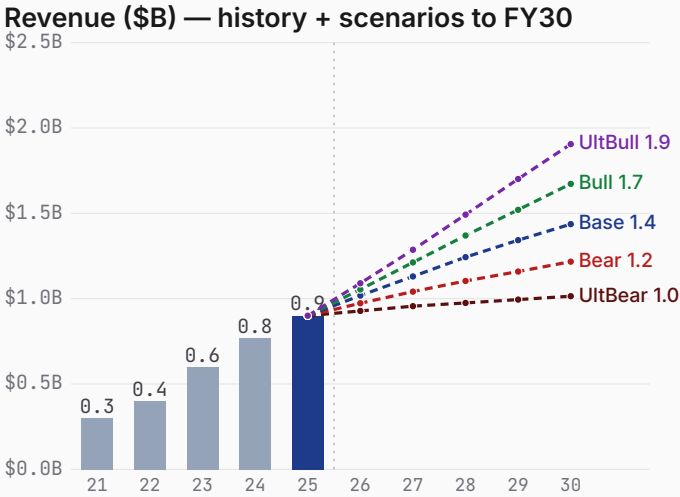
Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected \$69.76 (+22.6% vs spot)

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	-31.0% vs spot		-5.0% vs spot		+23.2% vs spot		+69.2% vs spot		+108.0% vs spot
Probability 14%		Probability 27%		Probability 34%		Probability 17%		Probability 8%	
Airport saturates; TSA commoditizes the lane.		Members grow slowly; platform stays optional.		Members compound; platform begins to carry.		Identity platform becomes the second act.		Horizontal identity network; platform re-rate.	
WHY 14%		WHY 27%		WHY 34%		WHY 17%		WHY 8%	
The genuine bear: CLEAR Plus growth already decelerated to +13% while total members grew +31%, and TSA owns the airport checkpoint and is fielding its own biometric ID. 14% weight on saturation plus regulatory commoditization.		Lane growth and pricing continue but the platform doesn't inflect; a durable cash machine that decelerates toward terminal growth. 27% as the plausible 'compounds slowly' path.		Requires continued member/pricing growth and the platform beginning to carry (PreCheck, eGates) — consistent with Q1 bookings +41% and the raised FCF outlook, not a step-change. 34% as the central outcome.		The platform optionality is real and observable (3rd authorized PreCheck enroller, eGates >50% of airports, CLEAR Plus opened to 40+ more countries, enterprise verification). ~17% weight on it becoming a second engine.		Everything works — members AND pricing AND a horizontal identity platform AND a multiple re-rate. ~8%, the long-duration tail on the network becoming the verification standard.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
CLEAR Plus hits the US frequent-flyer ceiling and TSA's own free touchless-ID rollout commoditizes the value prop: active members flatten, pricing power fades, and the platform never carries the load. Revenue creeps ~2-3%/yr and FCF margin slips toward ~24% as growth spend persists against a stalled base.		Membership keeps adding at a decelerating pace on price and modest lane growth, but the identity platform (PreCheck, eGates, enterprise) stays a small adjacency rather than a second engine. Revenue compounds ~6% to ~\$1.2B at a steady ~28-30% FCF margin.		The modal path: CLEAR Plus keeps adding members at ~13% with pricing, eGates roll past 50% of the network, the new TSA PreCheck enrollment channel scales, and the platform starts contributing — blending to ~10% revenue growth at a defended ~30%+ FCF margin. Revenue compounds toward ~\$1.4B.		The platform expansion lands: CLEAR's enrolled biometric identity becomes a horizontal verification layer beyond airport lanes — PreCheck enrollment at scale, eGates across the network, stadiums and enterprise/everyday identity verification — so the platform segment grows into a real second revenue stream on top of the membership base. Revenue compounds ~13% to ~\$1.7B at a ~33% FCF margin.		The full second act: the enrolled biometric identity becomes the default verification rail across travel, venues and enterprise, the platform out-scales the airport base, and CLEAR re-rates to a network-platform multiple at a peak ~36% FCF margin. Revenue compounds ~16% to ~\$1.9B.	
A maturing single-product subscription that has stopped compounding earns a low-growth, ~11x EV/FCF terminal - > DCF ~\$39 (-22%). Net cash sets a floor but can't offset a saturated airport network.		DCF ~\$54 (+8%) — a high-margin, net-cash subscription that grows but doesn't break out is worth modestly above today's price; most of the return is the FCF yield plus capital return, not re-rating.		DCF ~\$70 (+40%) — a ~20%-FCF-margin compounder at ~15x EV/FCF, net cash; returning capital, is mispriced if the modal case plays out; this is the core of the finding.		DCF ~\$96 (+92%) — if the enrolled-identity network extends past airports, it re-rates toward a platform multiple; this is the genuine ultra_bull second act, not a lift to the airport business.		DCF ~\$118 (+136%) — the enrolled-identity network compounds as a horizontal platform; ~8% probability, the asymmetric upside the entry is buying.	

Clear Secure business snapshot

Bear \$54.04 Base \$70.11 Bull \$96.30

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results



Sources: SEC XBRL company facts (CIK 1856314), Clear Secure Q1 FY2026 release (revenue \$253.0M/+19.7%, total CLEAR Members 40.99M/+31.3%, active CLEAR Plus 8.17M/+13.0%, FCF \$185.5M/+103%, total bookings \$291.7M/+40.8%). FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs subscription/identity peers. Caveats: ~95M economic share count is an estimate (XBRL untagged); net cash ~\$0.80B; dual-class governance gives the founder voting control.

Clear Secure 7 Powers · the moat, scored

Bear \$54.04 Base \$70.11 Bull \$96.30

Arena. Identity verification / expedited airport security — Clear Secure (CLEAR Plus lanes + an enrolled biometric identity network, ~\$0.9B revenue) vs TSA PreCheck (and TSA's own free touchless ID), Idemia/airport biometrics, and identity-verification platforms (Okta, Onfido, Yoti, government eID); auditing switching costs + a cornered-resource identity network against saturation and regulatory commoditization.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies 	Enrollment/marketing leverage over a ~41M-member base, but airport infrastructure spend is real and the absolute scale is small.
Network Economies 	More enrolled identities make CLEAR more useful to venues/partners, but it is one-sided (users, not a true two-sided market) — emerging, not dominant.
Counter-Positioning 	Was the consumer-paid fast-lane disruptor; now the incumbent, and TSA's free touchless ID counter-positions the paid value prop.
Switching Costs 	A dominant Power: enrolled biometrics + the renewing membership habit make re-enrolling elsewhere a friction, sticky once a frequent flyer is in the network.
Branding 	Recognized travel brand (the visible airport lanes), but it is a convenience brand, not pricing-power-defining the way a premium consumer brand is.
Cornered Resource · thesis leans here 	The other dominant Power: the enrolled biometric identity dataset + secured airport real-estate footprint — hard for a new entrant to replicate, though contingent on airport/TSA contracts.
Process Power 	Biometric enrollment + verification operations and the deferred-revenue engine; real but replicable.

PEER SET

TSA PreCheck (incl. free touchless ID) The government incumbent at the checkpoint; its own free biometric ID is the central commoditization threat to the paid lane.	· government
Idemia / airport biometrics Supplies biometric checkpoint hardware/ID to TSA and airports; an infrastructure competitor to CLEAR's lane economics.	· private
Okta Enterprise identity/verification platform; the comp if CLEAR's platform becomes a horizontal identity layer, and a margin/multiple benchmark.	13% gr · 22% mgn · ~30x EV/FCF
Onfido / Yoti / government eID Identity-verification challengers and national digital-ID schemes; pressure on the platform's everyday-verification ambition.	· private

THREAT VECTORS · FALSIFIERS

Cornered Resource · TSA's own free touchless ID falsifier: CLEAR Plus active-member growth decays toward flat as the free government biometric lane commoditizes the paid value prop.
Switching Costs · US frequent-flyer saturation falsifier: The addressable frequent-flyer base is exhausted; net active CLEAR Plus members plateau despite pricing.
Network Economies · Identity-verification platforms (Okta/Onfido/government eID) falsifier: The platform/identity segment stays an immaterial adjacency while rivals own enterprise/everyday verification.

COMPETITIVE READ

Clear Secure's Powers are switching costs (an enrolled biometric identity + the renewing membership habit) and a cornered resource (the enrolled-identity dataset + secured airport footprint) — genuine but airport-contingent. The Audit: the cornered resource is durable (medium) only as long as the airport network holds and the platform extends it; the live threats are US frequent-flyer saturation and, more pointedly, TSA's own free touchless ID commoditizing the paid lane. That fork drives the terminal growth rate, and the DCF prices both sides — a saturating single-product subscription in the ultra-bear (-22%) against a horizontal identity network in the bull/ultra-bull (+92% / +136%). The modal case has members compounding while the platform begins to carry (+40%), so a ~30%-FCF-margin, net-cash, capital-returning compounder at ~13x EV/FCF screens as cheap quality despite the YTD run. Standing caveats on any per-share read: dual-class governance (founder voting control over minority economic holders) and a ~95M economic share count that is an estimate.



Clear Secure People · Opportunity · Context · Deal

Bear \$54.04 Base \$70.11 Bull \$96.30

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Caryn Seidman-Becker · founder-led 16 yrs in seat

20.4% insider ownership
MEDIUM key-person risk

Capital allocation (realized)
Founder-operator: Seidman-Becker has been Chair & CEO since acquiring the assets and rebuilding the company in 2010 (with co-founder Ken Cornick), through the 2021 IPO to today. Capital allocation is shareholder-friendly for the category — a net-cash, FCF-positive (~30% FCF margin) business that pays a dividend and buys back stock while reinvesting in the identity network.

Incentive alignment
The founders' economic stake (~20% of the company as a group) is the dominant alignment lever, reinforced by the dividend and buyback. The flip side is control: the same founders hold ~82.8% of the votes through super-voting shares — alignment on economics, but a wide gap between voting power and economic ownership.

GOVERNANCE FLAGS

- four-class structure with 20-vote super-voting (Class B and Class D = 20 votes each); Class A and C = 1 vote
- Class D carries 20 votes but NO economic rights — a pure voting-control leg of the Up-C structure
- founders hold ~82.8% of combined voting power on ~20% economic ownership — a large vote/economics gap
- NYSE "controlled company" (uses exemptions) though Audit/Compensation/Nominating committees are run fully independent in practice
- combined Chair & CEO; directors elected annually (board is not staggered)

PEOPLE READ

A genuine founder-operator with real economic alignment (~20% stake) running a net-cash, FCF-positive, capital-returning business — the positives. But the governance sits in the most-entrenched tier: a four-class, 20-vote super-voting structure gives the founders ~82.8% of the votes on ~20% of the economics (Class D even carries votes with no economic rights), the company is an NYSE controlled company, and the Chair/CEO roles are combined. The vote/economics decoupling, not the operator quality, drives the score.

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the +38.8% finding) + position sizing.

Clear Secure supporting analysis · disclaimers · glossary

Bear \$54.04 Base \$70.11 Bull \$96.30

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

~13x EV/FCF for a ~30%-margin, net-cash compounder.
A deferred-revenue model throwing off ~30% FCF margin, growing ~20%, net cash, returning capital — cheap for the quality; the modal DCF is +40%.
- 2

The deferred-revenue model is the FCF engine.
Members pay upfront, so bookings (+41% in Q1) lead revenue and FCF (~\$186M, +103% YoY) runs ahead of GAAP — the cash machine is the asset.
- 3

Saturation is the real bear, not solvency.
Net cash, no debt, ~30% FCF margin — no survival risk; the downside is a US frequent-flyer ceiling plus free TSA touchless ID, i.e. terminal growth.
- 4

The platform is a genuine second act.
3rd authorized TSA PreCheck enroller, eGates in 30+ airports (>50% of the network) — the identity network expanding beyond airport lanes.
- 5

Dual-class governance is a flag.
Founder voting control over minority economic holders, plus a ~95M economic share count that is an estimate (XBRL untagged) — a caveat to size against.

FALSIFICATION TRIGGERS

Bull validation

platform/identity revenue scales as a distinct stream · PreCheck enrollment + eGates ramp network-wide · enterprise/everyday verification wins land · CLEAR Plus active members re-accelerate above mid-teens

Bear validation

CLEAR Plus active-member growth decays toward flat · TSA's free touchless ID rolls out broadly and pricing power fades · platform revenue stays an immaterial adjacency · bookings growth converges down to revenue growth

Reframe needed

if the airport network saturates and the platform never carries, re-rate the terminal toward a low-growth single-product subscription; the dual-class governance + estimated share count are standing per-share caveats

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

CLEAR Plus — The paid airport-security membership (~8.17M active, +13%) that gives expedited identity verification in airport lanes — the core, mature revenue base and the saturation question.

Total CLEAR Members — All enrolled identities (~40.99M, +31%), most free, spanning airports, venues and the platform — the top of the funnel CLEAR aims to convert and monetize via the identity network.

Deferred revenue / bookings — Members prepay, so cash bookings (~\$291.7M, +41%) are collected ahead of recognized revenue — the mechanism behind the ~30% FCF margin and FCF running ahead of GAAP.

TSA PreCheck / eGates — Government expedited-screening enrollment (3rd authorized provider) and biometric airport gates (>50% of the network) — the rails the identity platform expands through beyond lanes.

FCF margin — Free cash flow / revenue (~30% FY25, lifted by deferred-revenue prepayment); the mature-DCF swing factor — whether membership and the platform sustain ~30% cash conversion at scale.